

began to creep up. By 2019, Wall Street was minting a SPAC a week. Richard Branson was able to find a SPAC buyer—to the tune of \$800 million—for equity in Virgin Galactic, a space tourism company with no revenue. Wall Street noticed (noticed the fees). In April 2020, DraftKings, a sports fantasy and betting company with a prior history of regulatory trouble, went public via a SPAC. Suddenly, SPACs were hot. When Covid-19 lockdowns put the economy into recession, and the Federal Reserve started pumping liquidity into markets, speculators armed with cheap money flocked to SPACs. According to Kristi Marvin, CEO of SPACInsider, “Everybody wanted one. Valuations went through the roof.”

Traditionally, investors in SPAC IPOs were financial buyers such as hedge funds. The hedge funds either redeemed when an acquisition was announced or (if the price was favorable) sold to other investors. In 2020, interest broadened to retail buyers and institutions, sometimes denoted as “SPAC tourists.” The question for whomever owned the stock was simple: post-merger, were the shares likely to trade above \$10? If not, investors were better off redeeming. For them, exit was preferable to a bad deal.

The calculus for the sponsor was quite different. Financial structures in which incentives are misaligned often lead to trouble, and the incentives in SPACs were badly misaligned. The sponsor naturally hoped to acquire an attractive business at a favorable price. But for the sponsor, *even a bad deal was preferable to no deal at all*. Its shares would still be worth a good deal more than it had paid (which was zero), whereas if no deal transpired, it would lose the millions it had spent establishing the SPAC.

The possibility of redemption hung over each party like a sword, but in different ways. Redemptions weakened the capital structure and shrunk the base over which those hefty costs were spread. (If half the shares were redeemed, a 5.5% underwriting fee became equal to 11%